rely on social media for product discovery, customer support, and shopping experiences.

E-commerce is surging, with social media emerging as a key channel for product discovery and purchases, transforming consumer shopping habits, which is reshaping how consumers shop and engage with brands. Retailers and brands should leverage social media by optimizing content, using targeted ads, and integrating social commerce features, they can engage consumers where they spend the most time, driving visibility and sales.

Below are the new revenue streams for retailers and brands.,

- **Retail Media Networks:** Sell ad space on your website, app, and stores to brands. Eg., CMX (CVS Media Exchange®) is a data-led, technology-driven retail media network that enables partners to reach CVS Pharmacy® customers and loyal ExtraCare® customers through a variety of digital platforms, including social channels, programmatic display and on CVS.com®. [73]
- **Data Insights:** Sell anonymized customer data insights to other businesses. This could start happening out retail media networks.

Target the decision makers

Gen Alpha is currently responsible for over $28 billion in direct spending, and drives billions more in indirect spending, Even the youngest members of Gen Alpha influence purchase decisions.[74]

Currently more than one third (35%) of the consumers who are the primary decision makers in their households who make decisions about what products to purchase are Gen Z and Millennials. Moreover, Gen alpha has more influence on the drivers of most shoppers. Focus on digital engagement and personalized experiences to attract Gen Z and Millennials is essential. Leveraging social media and influencer marketing to capture Gen Alpha's influence on purchasing decisions will be helpful.

Enhance the in-store experience

In-store shopping is still the key shopping format for majority of consumers and needs to meet consumer expectations in terms of technology interfaces and customer experience as in the online formats. This can be achieved through:

- **AI-Driven personalization:** Use AI to analyse customer preferences, offering tailored recommendations and personalized shopping experiences
- **Geolocation tools**: Employ geolocation technologies to attract and engage local customers by providing real-time promotions and tailored services
- **Smart space utilization:** Leverage digital solutions like interactive displays and mobile apps to optimize small retail spaces for improved navigation and product discovery
- **Experiential marketing:** Host events, workshops, pop-up shops, and VR experiences.
- **Seamless Integration:** Balance digital and physical offerings to create immersive, tangible experiences while retaining convenience
- **Repair Services:** Offer extended warranties, repairs, and maintenance for recurring revenue. British multinational retailer Marks & Spencer (M&S) has partnered with clothing repair and alterations organisation SOJO on a new initiative for customers.[75]

Lead with purpose

There is still a gap in education and trust

Consumers are increasingly turning to vegan food and want to understand the nutritional impact. Educating consumers on health and sustainability metrics and, more importantly, gaining consumer trust by transparently providing this information is essential. A globally standardized scoring system would be a significant step forward. Beyond Meat, a US-based producer of plant-based meat substitutes has launched its newest product, Beyond Sun Sausage, marking a significant shift from its current meat replacements. This new product focuses on wholesome fruits, vegetables, and legumes, reflecting the organization's response to growing consumer demand for clean-label ingredients.[76] Foods claiming to have a "clean label" should be free of unsafe additives and ingredients and from vague or misleading terminology that hides health risks or implies non-existent health benefits.[77]

Global alliances and regulations also help educate consumers on food sustainability. In February 2024, Amsterdam became the first EU capital to endorse the Plant Based Treaty, which aims to:

- Put food systems at the forefront of combating the climate crisis
- Halt the widespread degradation of critical ecosystems caused by animal agriculture
- Promote a shift toward healthier, sustainable plant-based diets.[78]

The EU Commission has granted the Dutch government €700 million to help animal farmers in ecologically sensitive areas voluntarily close by October 2029 if they exceed nitrogen emission thresholds. The Netherlands leads in shifting away from animal agriculture. In 2024, Amsterdam became the first EU capital to endorse the Plant Based Treaty, and in 2022, Haarlem became the first city globally to ban meat adverts in public spaces.[79]

Transparent collaboration across partners is a keyway forward to reducing food waste

An impressive 62% of consumers across the world support brands that demonstrate transparent food-waste reduction practices, and 73% believe retailer policies and initiatives should help reduce food waste. Retailers have multiple areas to focus on to reduce food waste by:

- Enhancing transparency and efficiency in the supply chain to reduce waste and improve product freshness, using real-time data sharing and logistics optimization.
- Developing and implementing strategies for repurposing unsold food and engage with the entire supply chain to identify and mitigate potential waste.
- Implementing strategies to encourage consumers to make more responsible and efficient purchasing and consumption choices through dynamic pricing, targeted promotions, and rewards.

Carrefour in France has extended its collaboration with Wasteless in Argentina, rolling out Wasteless AI across all 640 of its stores. This collaboration aims to drastically reduce food waste, lower markdown costs by 54%, and offer consumers fresh products at low prices. Wasteless AI's advanced AI-driven smart markdown technology supports dynamic discounting of perishable products, ensuring that they are sold at the optimal moment in their lifecycles.[80]

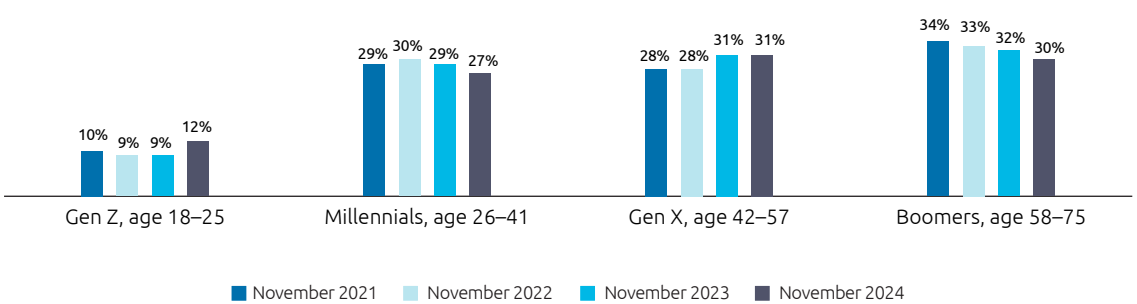
Conclusion

While the concerns swirling around the cost-of-living crisis have lessened, consumers continue to look for discounts. The shift toward Gen AI, social commerce, and RMN-assisted shopping is significant. The importance of rapid delivery services cannot be overstated, with customers valuing quick and efficient fulfillment. Consumers are also demanding more product information that they can trust as they shift to sustainable products and alter food habits. Increasingly, all these factors are shaping customer loyalty strategies. Retailers must adapt to these dynamics by focusing on establishing authentic connections with customers, maintaining high standards in customer service, and continually engaging with customers post-purchase through personalized communications. This holistic approach to understanding and implementing diverse loyalty drivers will be crucial for retailers aiming to sustain and grow their customer base in a competitive market and a still unpredictable business environment.

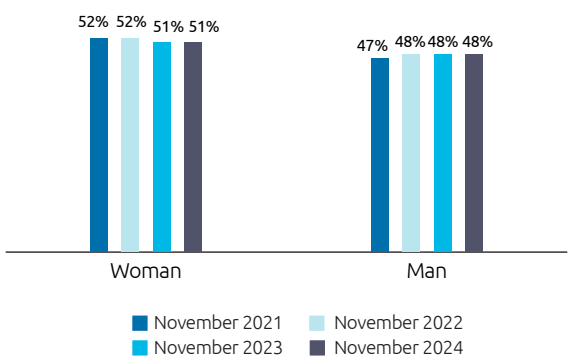
Research methodology

We surveyed 12,000 consumers over the age of 18 in 12 countries across North America, Europe, and Asia–Pacific in October and November 2024. The demographic details of the consumers are below.

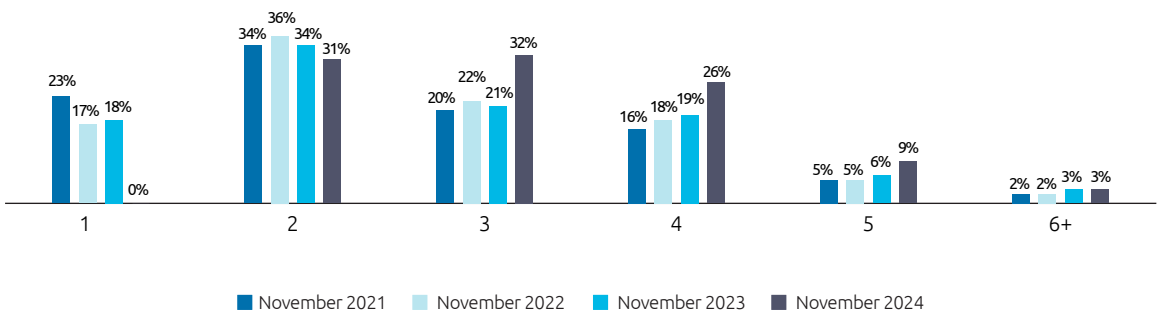
Consumers by age group



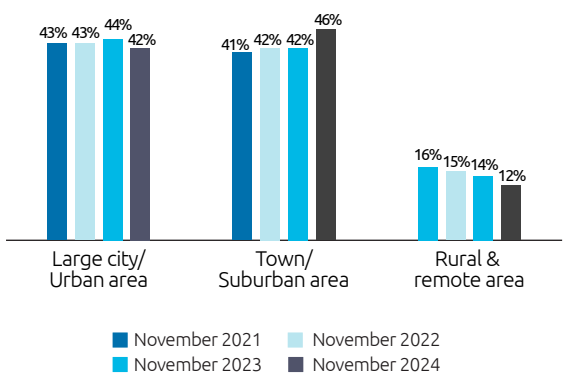
Consumers by gender identity



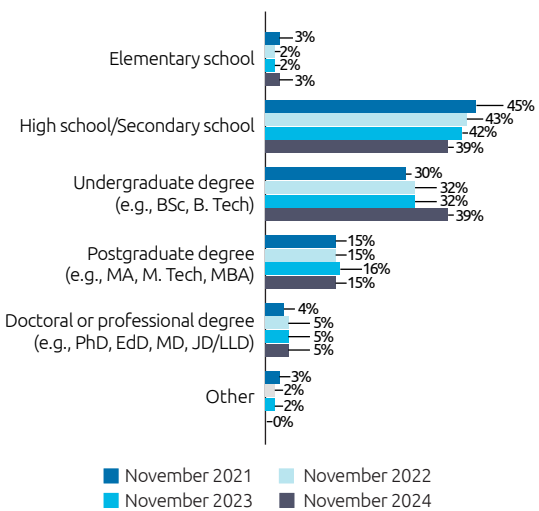
Consumers by number of people in household



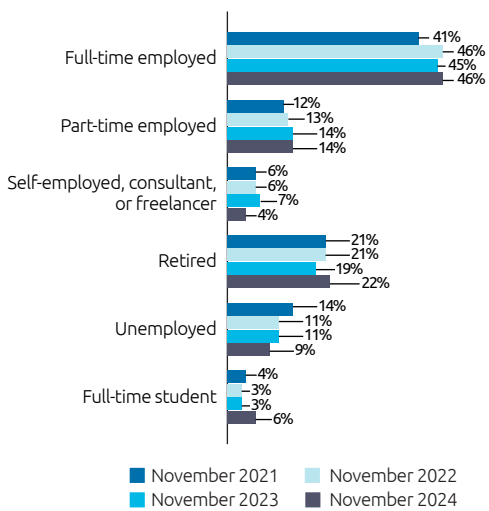
Consumers by self-identified residential area



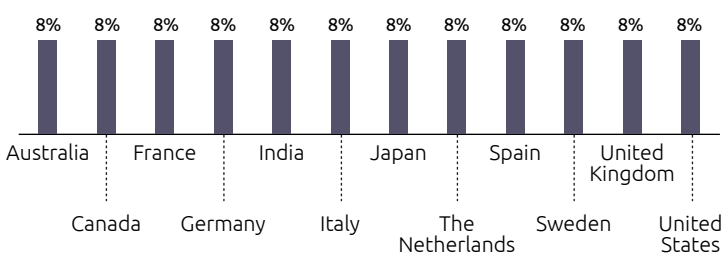
Consumers by highest educational level



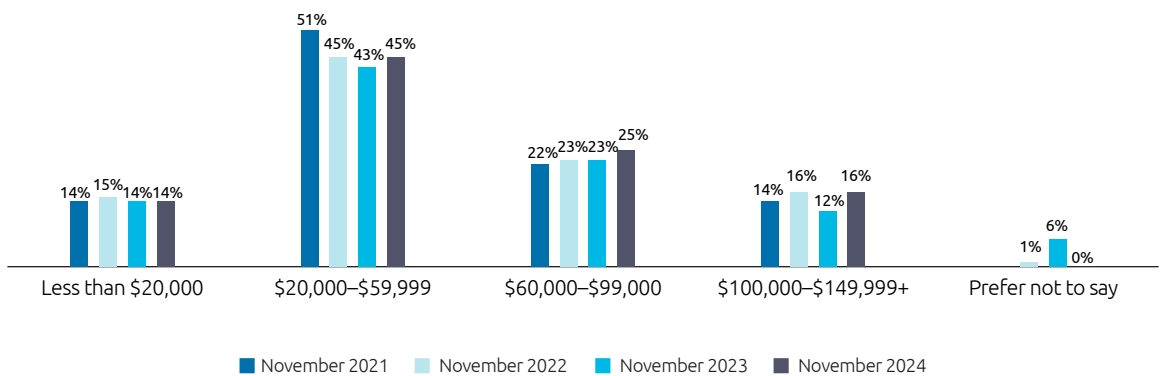
Consumers by employment



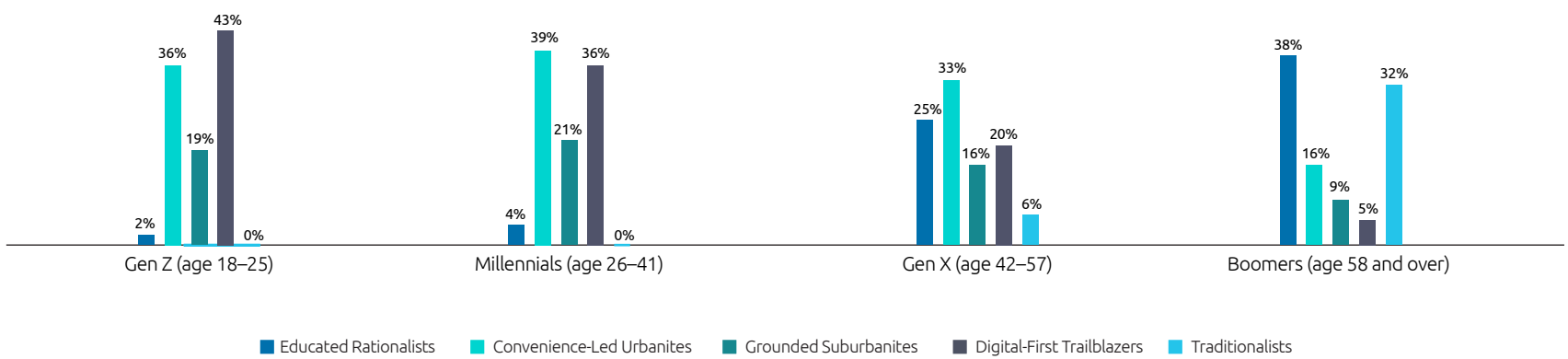
Consumers by country of residence



Consumers by annual household income



Cluster segmentation by age



Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers; Educated Rationalists cluster = 2,462 consumers; Convenience-Led Urbanites cluster = 3,556 consumers; Grounded Suburbanites cluster = 1,912 consumers; Digital-First Trailblazers cluster = 2,660 consumers; Traditionalists cluster = 1,410 consumers.

*The study findings reflect the views of the respondents to our online questionnaire for this research and are intended to provide directional guidance.

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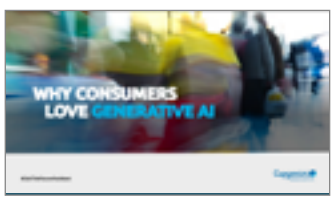
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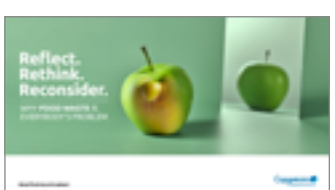
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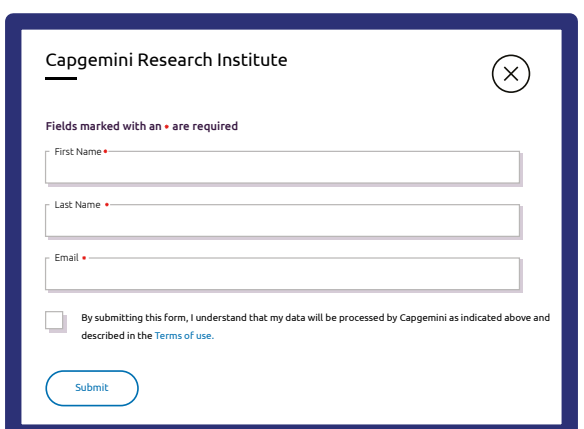


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